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By email only

Highest revenue authorities
of the *Länder*

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Federal Central Tax Office (*Bundeszentralamt
für Steuern*)

22. April 2025

**Subject: Individual questions relating to data transmission in accordance with sections 45b
and 45c of the Income Tax Act (*Einkommensteuergesetz*)¹**

File no.: IV C 1 - S 2410/00024/008/047

Document no.: COO.7005.100.2.11844066

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(Please quote file no. and document no. in your reply)

Following discussions with the highest revenue authorities of the *Länder*, the Federal Ministry of Finance circular of 6 November 2023 (Federal Tax Gazette I, p. 1947) is revised as follows:

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¹ This translation is provided merely for information purposes. Only the German language version is authoritative for the application of the law.



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I. Reportable data set pursuant to section 45b (2) of the Income Tax Act

- 1 Pursuant to section 45b (2) of the Income Tax Act, information must be transmitted for all capital income as per section 43 (1) sentence 1 no 1a and no 2 sentence 4 of the Income Tax Act. This does not apply to capital income from shares and participation certificates that are held in separate safe custody as per section 2 sentence 1 of the Securities Deposit Act (*Depotgesetz*) or for which the income is disbursed or credited upon presentation of the (dividend) coupons. Capital income pursuant to section 20 (3) and section 20 (4a) sentence 2 of the Income Tax Act is not covered by sections 45b (2) and 45c of the Income Tax Act. Domestic income from



shareholdings pursuant to section 6 (3) no 2 of the Investment Tax Act (*Investmentsteuergesetz*) is also not covered by sections 45b (2) and 45c of the Income Tax Act.

1. Due diligence requirements in the reporting procedure

1.1. General

- 2 The information pursuant to section 45b (2) of the Income Tax Act must be provided completely and accurately by the paying agent, the domestic and foreign intermediary custodians and the investor's foreign custodian (custodians). Most of the information that must be reported pursuant to section 45b (2) of the Income Tax Act relates directly to the custodians themselves, the shareholder and the capital income disbursed. As a rule, the custodians are directly in possession of this information or can ascertain it based on the ongoing business relationship and the crediting of capital income if due diligence requirements are met. This also includes the trade date, the actual settlement date and the agreed settlement date of the underlying securities pursuant to section 45b (2) sentence 1 no 5 (c) and (d) of the Income Tax Act.
- 3 When transmitting the data, the custodians must take into account the circumstances that become known to them over the course of the business relationship. The custodians must apply the due care of a prudent merchant. In particular, they must consider whether the transmitted information contradicts other information that they have obtained over the course of the business relationship. Compliance with due diligence requirements for the transmission of data is ensured in particular by internal controls to prevent inaccurate information as well as by audit activities. If there is no specific reason to doubt the accuracy of the information, there is no need to further investigate the facts.

1.2 Due diligence requirements in the reporting procedure for financial arrangements

- 4 Financial arrangements are not necessarily made with the participation of the custodians involved in processing the capital income.
A custodian must indicate a financial arrangement if the custodian has knowledge of it or is in possession of documents or other information obtained over the course of the business relationship with the shareholder suggesting that the shareholder has rights or obligations arising from a financial arrangement connected with the securities. The latter applies in particular to the extent that the shareholder maintains a financial arrangement (see recital 22 of Council Directive (EU) 2025/50 of 10 December 2024 on faster and safer relief of excess withholding taxes (OJ L of 10 January 2025 – FASTER Directive)).



- 5 It is acceptable for the information to be based on a declaration by the shareholder:
- stating that the underlying securities are economically connected with financial arrangements that were not yet settled, expired or otherwise completed on the day after the annual general meeting and
 - specifying the number of dividend-bearing shares connected with a financial arrangement and the number of dividend-bearing shares not connected with a financial arrangement.
- 6 In the case of securities lending or repo transactions, it must be assumed that the custodian has knowledge of a financial arrangement if, in particular, the custodian itself was the counterparty or was involved in initiating, brokering or otherwise concluding a securities lending or repo transaction with a third party.
In the case of free-of-charge securities account transfers, it is acceptable for the information about the securities lending or repo transaction that is indicated by the custodian to be based on a declaration by the shareholder. A financial arrangement must be reported if the securities serve as collateral for a securities lending or repo transaction.
- 7 If a shareholder maintains financial arrangements within the meaning of Directive (EU) 2025/50 (FASTER Directive) at the custodian alongside the securities underlying the capital income, and if it is possible, in principle, for the capital income to be offset against negative capital income pursuant to section 43 (3) sentence 2 of the Income Tax Act (especially domestic private investors with capital income within the scope of the final withholding tax), a report must be made only if it is known to the custodian that the securities underlying the capital income are connected with a financial arrangement.
- 8 In the case of capital income creditors who are subject to unlimited tax liability, it is acceptable for financial arrangements not to be reported if the capital income received by the creditor on the distribution date for the securities class in question across all securities accounts with the paying agent does not exceed €1,000.

2. Content of the reportable data set

- 9 The data set's content must comply with the requirements for reporting capital income as defined in Annex II of Directive (EU) 2025/50 (FASTER Directive). Section 45b (2) sentence 1 of the Income Tax Act applies to capital income received by persons subject to unlimited tax liability and by persons subject to limited tax liability.

2.1. Information pursuant to section 45b (2) sentence 1 no 1 of the Income Tax Act

- 10 The process-specific number (registration number) issued by the Federal Central Tax Office to identify the reporting entity and any service providers must be used as a reference code.



- 11 The report must include the email address and telephone number of the reporting entity.

2.2 Information pursuant to section 45b (2) sentence 1 no 2 of the Income Tax Act

- 12 If, in cases of inheritance, the tax number of the joint heirs is unknown to the paying agent, the reportable data set pursuant to section 45b (2) sentence 1 no 2 (a) of the Income Tax Act must contain the deceased's tax identification number pursuant to section 139b of the Fiscal Code, the deceased's name and the addendum "Nachlass" (estate). The heirs need not be specified by name. The same applies if the heirs' identities are unknown to the credit institution.
- 13 In the case of investment funds with different unit classes (section 96 (1) sentence 1 of the Investment Code (*Kapitalanlagegesetzbuch*)), the tax number of the investment fund as the taxable entity for corporation tax as per the status certificate or the serial number issued by the Federal Central Tax Office on the status certificate must always be included when indicating the tax number pursuant to section 45b (2) sentence 1 no 2 (b) of the Income Tax Act.
- 14 If no tax identifier is available for the information pursuant to section 45b (2) sentence 1 no 2 (a) of the Income Tax Act, the first step is to run an automated search for the identifier at the Federal Central Tax Office. If this automated search fails to produce a result, a manual inquiry at the Federal Central Tax Office may be made.
- 15 For the purposes of reporting pursuant to section 45b (2) sentence 1 no 2 (c) of the Income Tax Act, the home address or business address used in the withholding of capital income tax is decisive.
- 16 If no tax identification number was issued for a natural person by the country of residence, the identifier issued by the country of residence instead of an identification number must be indicated for the purposes of reporting pursuant to section 45b (2) sentence 1 no 2 (d) of the Income Tax Act. If a tax identification number pursuant to section 139b of the Fiscal Code was issued, it must be indicated.
- 17 Regarding the type of securities account to be reported pursuant to section 45b (2) sentence 1 no 2 (e) of the Income Tax Act, there are seven account types, in line with Annex II of Directive (EU) 2025/50 (FASTER Directive):
- A – Own account (maintained by a participant in the central securities depository (CSD) for their own account)
Example: A credit institution maintains an account at the CSD in which the institution's own holdings are held in custody.
 - B – Third-party general account (maintained by a participant in the CSD for the account of clients)
Example: A credit institution maintains an account at the CSD in which the holdings of various clients of the institution are held in custody ("omnibus account").



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- C – Third-party individual account (maintained by a participant in the CSD on behalf of a client)
Example: A credit institution maintains an account at the CSD in which the holdings of a client of the institution are held in custody.
- D – Detail register account of a third-party general account (securities of a client included in a third-party general account maintained by a participant in the CSD)
Example: A subaccount in which the holdings of one client are held in custody is maintained at the CSD within an omnibus account.
- E – Third-party global account other than B
Example: Credit institution A maintains a securities account for another credit institution (B). The holdings of various clients of B are held in custody in the account maintained for B (securities account B).
- F – Individual account of a securities holder other than D or C
Example: Investor A maintains a securities account at credit institution B.
Joint accounts of spouses also fall under category F.
- G – Other type of account
Example: Credit institution A maintains a securities account for another credit institution (B). Holdings of one client of B are held in custody in the account maintained for B (segregated securities account B).
Example: Credit institution A maintains a fiduciary account for trustee B.

Information pursuant to A–D must be provided for securities accounts maintained with the CSD; information pursuant to E–G must be provided for securities accounts maintained with the custodians.

18 Fiduciary account

In terms of the transmission obligations pursuant to section 45b (4) and (5) of the Income Tax Act, the information specified in section 45b (2) sentence 1 of the Income Tax Act must be provided for the capital income creditor (= beneficiary), as must the account number or securities account number and the personal data of the trustee pursuant to section 45b (2) no 1 and no 2 (e) of the Income Tax Act. If the tax certificate is issued in the trustee's name as per margin no 15 of the Federal Ministry of Finance circular of 23 May 2022 (Federal Tax Gazette I, p. 860), this too must be indicated in the reportable data set, and the securities account holder must be specified, alongside the indication "Treuhanddepot" (fiduciary account).

- 19 In the case of securities accounts held in usufruct, the indication "Nießbrauchdepot" (securities account held in usufruct) must be added to the reportable data set. If pledged securities are attributable to the pledgee as collateral for a securities loan, the indication "Pfanddepot" (pledged securities account) must be added to the reportable data set if no financial arrangement has been reported. Margin no 8 applies accordingly.

2.3 Information pursuant to section 45b (2) sentence 1 no 3 of the Income Tax Act

- 20 It is not necessary to transmit information on custodians who came before the paying agent in the chain of custody.



- 21 It is acceptable for the intermediary custodian's tax identification number issued by the country of residence to be transmitted only if it is available.
- 22 For the purposes of indicating the type of securities account maintained pursuant to section 45b (2) sentence 1 no 3 (d) of the Income Tax Act, margin no 17 applies accordingly.
- 23 Unless it has any information to the contrary about the custody structure, the paying agent may, for the purposes of reporting the required information, use the information that has been reported along the chain of custody about the intermediary custodians further down the chain.

2.4 Information pursuant to section 45b (2) sentence 1 no 4 of the Income Tax Act

- 24 For the purposes of reporting pursuant to section 45b (2) sentence 1 no 4 (a) of the Income Tax Act, only the international securities identification number and the name of the distributing company must be provided. It is not necessary to provide the further information specified in section 45b (2) sentence 1 no 4 (a) of the Income Tax Act regarding the address, Legal Entity Identifier (LEI) and European Unique Identifier (EUID) of the company distributing the capital income and the type of security.
- 25 For the purposes of indicating the number of securities pursuant to section 45b (2) sentence 1 no 4 (b) of the Income Tax Act, the holding based on which the income was credited to the capital income creditor is decisive.
- 26 The net amount pursuant to section 45b (2) sentence 1 no 4 (c) of the Income Tax Act is the amount after subtracting the capital income tax and supplemental tax:
 - before any exemption order has been taken into account,
 - before any offsettable foreign withholding tax has been taken into account,
 - without taking into account church tax and
 - before the income has been offset against negative capital income in accordance with section 43a (3) sentence 2 of the Income Tax Act.
- 27 For the purposes of section 45b (2) sentence 1 no 4 (d) of the Income Tax Act, the decisive amount is:
 - the amount of capital income tax withheld and remitted per securities class and payment date (due date of the securities income) and
 - the amount of supplemental taxes withheld and remitted, excluding church tax,
 - before any exemption order has been taken into account,
 - before any offsettable foreign withholding tax has been taken into account, and



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- before the income has been offset against negative capital income in accordance with section 43a (3) sentence 2 of the Income Tax Act.

28 **Example 1**

Custodian bank A holds 100 shares in custody for securities account client B. There is a dividend distribution of €1 per share. Custodian bank A applies an offsettable loss of €100 when crediting the dividend.

Information pursuant to section 45b (2) sentence 1 no 4 (c) of the Income Tax Act:

Gross amount: €100

Net amount: €73.63

Information pursuant to section 45b (2) sentence 1 no 4 (d) of the Income Tax Act:

Capital income tax: €25

Solidarity surcharge: €1.37

29 **Example 2**

Custodian bank A holds 100 shares in custody for securities account client B. There is a dividend distribution of €1 per share. When crediting the dividend, custodian bank A can apply an exemption order of €100.

Information pursuant to section 45b (2) sentence 1 no 4 (c) of the Income Tax Act:

Gross amount: €100

Net amount: €73.63

Information pursuant to section 45b (2) sentence 1 no 4 (d) of the Income Tax Act:

Capital income tax: €25

Solidarity surcharge: €1.37

30 Pursuant to section 45b (2) sentence 1 no 4 (f) of the Income Tax Act, the number of the account to which the investor's dividend payment was credited by the investor's custodian must be recorded.

31 Pursuant to section 45b (2) sentence 1 no 4 (g) of the Income Tax Act, the COAF (Corporate Action Event Reference) must be indicated.

2.5 Information pursuant to section 45b (2) sentence 1 no 5 of the Income Tax Act

32 When calculating the periods pursuant to section 45b (2) sentence 1 no 5 of the Income Tax Act, calendar days must be applied.

33 For the purposes of section 45b (2) sentence 1 no 5 (a)–(d) of the Income Tax Act, the FIFO method must be applied. This must be based on the trade date. It is acceptable for the actual settlement date to be used as a basis for the application of the FIFO method.



Section 45b (2) sentence 1 no 5 (b) of the Income Tax Act

- 34 Financial arrangements must be reported regardless of the type and time of acquisition of the securities and, in particular, regardless of whether the dividend-bearing shares were acquired by way of purchase or other securities account transfer.
- 35 The report on a financial arrangement must be attributed to the securities holdings that, to the custodian's knowledge, are connected with the financial arrangement, especially if an attribution can be made based on the documents or information available from the custodian's business relationship with the shareholder. It is acceptable for the shareholder to provide a written declaration regarding the attribution of a financial arrangement stating that the securities holdings specified by the shareholder are economically connected with a financial arrangement that was not yet settled, expired or otherwise completed on the day after the annual general meeting. If a credit institution maintains several securities accounts or several holdings in a securities account for the shareholder, and if the shareholder declares that the financial arrangement cannot be attributed to a specific securities holding, it is acceptable for the custodian to undertake an attribution to a securities holding in a securities account maintained for the shareholder.
- 36 If shares serve as collateral for securities given as part of a securities transactions, and if the recipient of the shares is required to pass on the received dividend in full or in part, a report pursuant to section 45b (2) sentence 1 no 5 (b) of the Income Tax Act must be submitted.
- 37 **Example**
14 April: A lends fixed-income securities to B
14 April: B transfers 100 shares of X-AG to A as collateral for the fixed-income securities given (A is obliged to pass on the dividends received during the lending transaction to B or remunerate B)

28 May: Day of the annual general meeting

Pursuant to section 45b (2) sentence 1 no 5 (b) and (c) of the Income Tax Act, the following information must be reported for creditor A's 100 shares of X-AG:

<i>Information pursuant to section 45b (2) sentence 1 no 5 (b) of the Income Tax Act</i>	<i>Financial arrangement</i>
<i>Section 45b (2) sentence 1 no 5 (c) of the Income Tax Act</i>	<i>1. Transfer 2. Trade date: 14 April 3. Actual settlement date: 14 April 4. Agreed settlement date: 14 April</i>

Section 45b (2) sentence 1 no 5 (c) of the Income Tax Act



- 38 Pursuant to section 45b (2) sentence 1 no 5 (c) of the Income Tax Act, the trade date, the actual settlement date and the agreed settlement date of securities acquired or otherwise transferred within a year prior to the second business day following the day of the annual general meeting must be indicated. Moreover, it must be indicated whether the acquisition or transfer was based on a purchase, a securities lending transaction, a repo transaction or other type of transfer.
- 39 It is acceptable if, instead of indicating whether the transaction was based on a securities lending or repo transaction, the holding of securities lending or repo transactions pursuant to section 45b (2) sentence 1 no 5 (b) of the Income Tax Act that had not yet been completed on the day after the annual general meeting is indicated (holding-based report). It is acceptable if the report is based on a declaration by the shareholder stating whether there was, in connection with the securities underlying the dividend payment, a securities lending or repo transaction that had not yet been completed on the day after the annual general meeting, insofar as this does not contradict any other documents or information available to the custodian. The attribution to individual transactions of the securities lending or repo transactions may be omitted.
- 40 If the paying agent has knowledge of an uncompleted securities lending transaction relating to the shares underlying the dividend payment, and if the paying agent has no information indicating that the securities lending transaction is not economically connected with the underlying shares, "Wertpapierleihe" (securities lending transaction) must be reported alongside the information established using the FIFO method. This also applies if the uncompleted securities lending transaction was settled through another securities account belonging to the taxpayer. This also applies if no shares were held in custody in that securities account on the dividend date. All open lending items must be considered. This also applies in relation to the end of the securities lending transaction. The FIFO method must be applied to additions even if shares were acquired during an uncompleted securities lending transaction. If the paying agent does not have a declaration allowing the securities lending transaction to be attributed to the dividend-bearing shares, it is acceptable for open securities lending items to be attributed to the holdings that were most recently added according to the FIFO method.
- 41 Securities lending transactions that were entered into prior to the beginning of the period pursuant to section 45b (2) sentence 1 no 5 (c) of the Income Tax Act are not covered by section 45b (2) sentence 1 no 5 (c) of the Income Tax Act.

42 **Example 1**

The following transactions were executed in securities account number 123:

14 April: Borrowing of 100 shares of X-AG

15 April: Purchase of 200 shares of X-AG (settlement date: 17 April)

16 April: Sale of 200 shares of X-AG (settlement date: 18 April)

28 May: Day of the annual general meeting

30 May: Dividends credited for 100 shares

Information pursuant to section 45b (2) sentence 1 no 5 (c) of the Income Tax Act for the holding of 100 shares:



- | |
|---|
| <ol style="list-style-type: none">1. Purchase2. Trade date: 15 April3. Actual settlement date: 17 April4. Agreed settlement date: 17 April5. Securities lending transaction |
|---|

(If the option to submit a holding-based report of securities lending positions is used, the transaction-based report of the securities lending transaction may be omitted in accordance with margin no 39, and the open securities lending position of 100 shares must be reported pursuant to section 45b (2) sentence 1 no 5 (b).)

43 **Example 2**

The following transactions were executed in securities account number 123:

14 April: Borrowing of 100 shares of X-AG

15 April: Sale of 100 shares of X-AG

The following transactions were executed in securities account number 345:

15 April: Purchase of 100 shares of X-AG (settlement date: 17 April)

28 May: Day of the annual general meeting, 30 May: Dividends credited for 100 shares

Information pursuant to section 45b (2) sentence 1 no 5 (c) of the Income Tax Act for the holding of 100 shares:

- | | |
|---|---|
| <ol style="list-style-type: none">1. Purchase2. Trade date3. Actual settlement date4. Agreed settlement date5. Securities lending transaction | <p>15 April</p> <p>17 April</p> <p>17 April</p> |
|---|---|

(If the option to submit a holding-based report of securities lending positions is used, the transaction-based report of the securities lending transaction may be omitted in accordance with margin no 39, and the open securities lending position of 100 shares must be reported pursuant to section 45b (2) sentence 1 no 5 (b).)

- 44 *The same applies if, during a securities lending transaction that is not yet settled, expired or otherwise completed, an internal securities account transfer to another securities account within the same bank is carried out. In this case, too, "Wertpapierleihe" (securities lending transaction) must be reported for the holding of 100 shares.*

Example 3



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The following transactions were executed in securities account number 123:

14 April: Borrowing of 100 shares of X-AG, settlement date: 14 April

15 April: Securities account transfer of 100 shares of X-AG to account 345

Information pursuant to section 45b (2) sentence 1 no 5 (c) of the Income Tax Act for the holding of 100 shares in securities account 345:

1. Transfer	
2. Trade date	15 April
3. Actual settlement date	15 April
4. Agreed settlement date	15 April
5. Securities lending transaction	

(If the option to submit a holding-based report of securities lending positions is used, the transaction-based report of the securities lending transaction may be omitted in accordance with margin no 39, and the open securities lending position of 100 shares must be reported pursuant to section 45b (2) sentence 1 no 5 (b).)

45 **Example 4**

The following transactions were executed in securities account number 123:

14 April: Borrowing of 100 shares of X-AG

15 April: Purchase of 100 shares of X-AG (settlement date: 17 April)

16 April: Purchase of 20 shares of X-AG (settlement date: 17 April)

18 May: Sale of 35 shares of X-AG (settlement date: 20 May)

28 May: Day of the annual general meeting

30 May: Dividends credited for 185 shares

Information pursuant to section 45b (2) sentence 1 no 5 (c) of the Income Tax Act for the holding of 185 shares:

1. Transfer	65 shares
2. Trade date	15 April
3. Actual settlement date	14 April
4. Agreed settlement date	14 April
5. Securities lending transaction	65 shares
1. Purchase	100 shares
2. Trade date	15 April
3. Actual settlement date	17 April
4. Agreed settlement date	17 April
5. Securities lending transaction	15 shares
1. Purchase	20 shares
2. Trade date	16 April
3. Actual settlement date	16 April



4. Agreed settlement date	16 April
5. Securities lending transaction	

(If the option to submit a holding-based report of securities lending positions is used, the transaction-based report of the securities lending transaction may be omitted in accordance with margin no 39, and the open securities lending position of 100 shares must be reported pursuant to section 45b (2) sentence 1 no 5 (b).)

- 46 The period pursuant to section 45b (2) sentence 1 no 5 (c) of the Income Tax Act begins a year prior to the day of the annual general meeting and ends on expiration of the day of the annual general meeting. If the trade date was before the period calculated pursuant to section 45b (2) sentence 1 no 5 (c) of the Income Tax Act, no report pursuant to section 45b (2) no 5 (c) of the Income Tax Act is required.

Example

Day of the annual general meeting: 23 May 2027

Beginning of one-year period: 24 May 2026

If the FIFO method is applied on the basis of the actual settlement date, the period ends on the day of supply of the dividend-bearing shares for which the tax certificate is issued.

47 **Example 1**

Shareholder X has 200 shares of Y-AG in his securities account with foreign custodian bank B. Foreign custodian bank B places 100 of these shares in custody with intermediary custodian C and the remaining 100 with intermediary custodian D. Both intermediary custodians place the shares in custody with German paying agent A.

The day of the annual general meeting is 23 April, the second day following the annual general meeting is 25 April. As at 20 April of the previous year, X already had a holding of 200 shares. X acquired 150 shares of Y-AG on 30 October of the previous year (trade date: 30 October, settlement date: 1 November, agreed settlement date: 1 November) and disposed of these 150 shares again on 5 December of that year. The shares were held in custody by intermediary custodian E. On the dividend date, E no longer held any of X's shares in custody. In each case, X acquired the shares via foreign custodian bank B.

Pursuant to section 45b (2) sentence 1 no 5 (c) of the Income Tax Act, the following information must be reported for the 200 shares of Y-AG held in custody by paying agent A:

<i>Purchase of 150 shares</i>
<i>Trade date: 30 October</i>
<i>Settlement date: 1 November</i>
<i>Agreed settlement date: 1 November</i>

The allocation of the 150 shares to intermediary custodians C and D must be made on the basis of the information transmitted by C and D.



It is acceptable for the acquisitions of 150 shares established by the custodian according to the FIFO method to be taken into account both when reporting the dividend payment through intermediary custodian C and through intermediary custodian D. In this case, domestic paying agent A must indicate the acquisitions of 150 shares in the report for the holding of 100 shares reported through intermediary custodian D and for the holding of 100 shares reported through intermediary custodian C.

The remaining 50 shares were not, according to the FIFO method, acquired within the period set out in section 45b (2) sentence 1 no 5 (c) of the Income Tax Act.

48 Example 2

Foreign custodian bank B has placed 1,000 shares of X-AG in custody with German custodian A. Of this total holding, 500 shares are held for foreign custodian bank B's client C, who is resident outside Germany. As at 20 April of the previous year, C had a holding of 300 shares of X-AG. C purchased 600 shares on 30 October of the previous year (trade date: 30 October, settlement date: 1 November, agreed settlement date: 1 November) and sold 400 shares on 5 December of the previous year. The day of the annual general meeting is 23 April. As at 25 April of the current year, two days following the day of the annual general meeting, the holding of dividend-bearing shares for client C totals 500 shares of X-AG.

Pursuant to section 45b (2) sentence 1 no 5 (c) of the Income Tax Act, the following information must be reported for the 500 shares of X-AG held in custody by paying agent A:

<i>Purchase of 500 shares</i>
<i>Trade date: 30 October</i>
<i>Settlement date: 1 November</i>
<i>Agreed settlement date: 1 November</i>

If no report pursuant to section 45b (5) of the Income Tax Act is transmitted for the remaining holding of 500 shares placed in custody with German custodian A by custodian bank B, a report pursuant to section 45b (6) sentence 1 of the Income Tax Act must be submitted for these shares.

49 Example 3

Foreign custodian bank A holds 200 shares of Y-AG in custody for X. Of these 200 shares, 100 are held in custody by foreign intermediary custodian B and 100 are held in custody by foreign intermediary custodian C. B places the shares in custody with German custodian D, while C places the shares in custody with German custodian E. As at 20 April of the previous year, X already had a holding of 200 shares. X then purchased 100 shares on 30 October of the previous year (trade date: 30 October, settlement date: 1 November, agreed settlement date: 1 November) and sold 100 shares on 5 December of that year. The date of the annual general meeting is 23 April.

Pursuant to section 45b (2) sentence 1 no 5 (c) of the Income Tax Act, the following information must be reported for the 100 shares of Y-AG held in custody by paying agents D and E:



Purchase of 100 shares
Trade date: 30 October
Actual settlement date: 1 November
Agreed settlement date: 1 November for D and E

50 **Example 4**

The following transactions are recorded in a securities account:

Purchase on 5 March 2010: 100 shares

Purchase on 26 May 2017: 100 shares

Purchase on 15 December 2025: 100 shares

Purchase on 8 September 2027: 100 shares

The relevant holding for the dividend payment as at 10 October 2027 is 400 shares.

Reportable acquisition information:

Information pursuant to section 45b (2) sentence 1 no 5 (c) of the Income Tax Act must be reported for the 100 shares purchased on 8 September 2027.

- 51 If, in the case of a securities account transfer, the acquisition information cannot be copied over (in accordance with margin no 193 of the Federal Ministry of Finance circular of 19 May 2022 (Federal Tax Gazette I, p. 742)), the time of acquisition is the booking-in date. This applies accordingly if, in the case of a securities account transfer between two credit institutions within Germany or from another country, the acquisition information is not supplied.
- 52 For the purposes of reporting pursuant to section 45b (2) sentence 1 no 5 (c) and (d) of the Income Tax Act, the trade date, the agreed settlement date and the actual settlement date must be indicated separately.
- 53 The actual settlement date is the day on which the transfer was executed and the securities were booked from the seller's account into the buyer's account. The agreed settlement date is the day on which the transfer is due to be executed according to the contractual agreements made by the parties. This may differ from the actual settlement date.
- 54 If shares in the distributing company are booked into the shareholder's securities account in place of a dividend payment, the time of acquisition is the booking-in date. In the case of stock splits and reverse splits, the acquisition dates of the split stocks are decisive.
- 55 If, in the case of securities account transfers resulting from gifts or inheritances, the original acquisition costs must be applied in order to determine the tax base, it is acceptable if the acquisition data transferred to the recipient are transmitted for the recipient of the shares.

56 **Example:**



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A is the sole heir of B. In execution of the estate, 10 shares of X-AG are booked into A's account on 2 May. The date of the annual general meeting is 30 May. B acquired the shares with a trade date of 20 February and settlement date of 22 February of the previous year.

Information pursuant to section 45b (2) sentence 1 no 5 (c) of the Income Tax Act for the holding of 10 shares:

There is no need to report the acquisition data relating to B's acquisition, because B did not acquire the shares within the one-year period pursuant to section 45b (2) sentence 1 no 5 (c) of the Income Tax Act.

- 57 When securities are transferred back to the lender at the end of a securities lending period, the following acquisition data must be indicated in the reportable data set for the capital income accruing to the lender after the end of the lending period in relation to the additions: (a) the date on which the securities lending transaction was entered into as the trade date, (b) the agreed end date of the securities lending period as the agreed settlement date, and (c) the date on which the shares were booked back into the lender's account after the end of the lending period as the actual settlement date.

Section 45b (2) sentence 1 no 5 (d) of the Income Tax Act

- 58 The number of underlying shares is also the basis for the attribution of disposals or transfers pursuant to section 45b (2) sentence 1 no 5 (d) of the Income Tax Act. This applies both if the custodian itself is the counterparty to the transactions and if the transactions are executed on behalf of a third party and the custodian is not a contracting party to the transactions. In the case of holdings-based reporting on financial arrangements in accordance with margin no 39, it is acceptable to omit the information that the transfer is based on the end of a securities lending or repo transaction.

59 **Example**

100 shares are booked into a securities account in execution of a securities lending transaction. In addition, 100 shares are booked in on the basis of a purchase contract but are sold again after one day and prior to the day of the annual general meeting. The trade date and settlement date of the purchase transaction must be indicated for the 100 shares held as at the entitlement date. Due to the uncompleted securities lending transaction, "Wertpapierleihe" (securities lending transaction) must be reported. If the lending transaction is completed and the shares are transferred back within the time period set out in section 45b (2) sentence 1 no 5 (d) of the Income Tax Act, the return transfer must be attributed to the completed lending transaction.

- 60 Information pursuant to section 45b (2) sentence 1 no 5 (d) of the Income Tax Act regarding the disposal or other (return) transfer of securities must be transmitted if the trade date is within 47 days following the date of the annual general meeting.



- 61 If shares are disposed of or transferred back after the day of the annual general meeting but before the dividends are credited, the information about the disposal or return transfer of the securities must also be transmitted.

62 **Example**

On 15 March, two days before the date of the annual general meeting, A purchases 100 shares, which are booked into the securities account on the day of the annual general meeting (17 March). On the day after the annual general meeting (18 March), A sells the shares to B. The shares are booked out of A's securities account on the date of sale and credited to B's account on the same day. A is credited the net dividend by his custodian bank C. The relevant period runs from 18 March until the end of 3 May.

<i>C must indicate the following information pursuant to section 45b (2) sentence 1 no 5 (c) of the Income Tax Act:</i>	<i>Number of shares: 100, purchase Trade date: 15 March Actual settlement date: 17 March Agreed settlement date: 17 March</i>
<i>C must indicate the following information pursuant to section 45b (2) sentence 1 no 5 (d) of the Income Tax Act:</i>	<i>Number of shares: 100, sale Trade date: 18 March Actual settlement date: 18 March Agreed settlement date: 18 March</i>

- 63 The information about the acquisition of the securities must be reported regardless of whether a disposal or transfer took place within the period set out in section 45b (2) sentence 1 no 5 (d) of the Income Tax Act. If securities are disposed of – or transferred or booked out on the basis of a securities lending, repo or other transaction – within the period set out in section 45b (2) sentence 1 no 5 (d) of the Income Tax Act, information about the acquisition must be reported alongside the information about the disposal if the conditions set out in section 45b (2) sentence 1 no 5 (c) of the Income Tax Act apply to the acquisition.
- 64 If the securities are booked out within the period set out in section 45b (2) sentence 1 no 5 (d) of the Income Tax Act and the underlying legal transaction or the agreed trade date or agreed settlement date are unknown, the booking-out date must be reported as the actual settlement date. In this case, it is acceptable for the actual settlement date to be reported as the trade date and as the agreed settlement date.
- 65 If a securities account transfer takes place after the dividend date within the period set out in section 45b (2) sentence 1 no 5 (d) of the Income Tax Act, the securities account transfer must be reported.
- 66 **Example**



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The following transactions were executed in securities account number 123:

14 April: Borrowing of 100 shares of X-AG

28 May: Day of the annual general meeting

6 June: Securities account transfer of 100 shares of X-AG to securities account 345

<i>Information pursuant to section 45b (2) sentence 1 no 5 (c) of the Income Tax Act for the holding of 100 shares:</i>	<i>1. Securities lending 2. Trade date: 14 April 3. Actual settlement date: 14 April 4. Agreed settlement date: 14 April</i>
<i>Information pursuant to section 45b (2) sentence 1 no 5 (d) of the Income Tax Act for the holding of 100 shares:</i>	<i>1. Transfer 2. Trade date: 6 June 3. Settlement date: 6 June 4. Agreed settlement date: 6 June 5. Securities lending transaction</i>

- 67 If a securities account transfer takes place due to an inheritance within the period set out in section 45b (2) sentence 1 no 5 (d) of the Income Tax Act, it is acceptable if no report is submitted for this securities account transfer.

2.6 Information pursuant to section 45b (2) sentence 1 no 6 of the Income Tax Act

- 68 The information pursuant to section 45b (2) sentence 1 no 6 (a)–(e) of the Income Tax Act must be added by the custodian of the German shares for which depositary receipts have been issued if the holder of the depositary receipt requests that a tax certificate is issued or a data set transmitted to the Federal Central Tax Office pursuant to section 45b (5) in conjunction with section 45a (2a) of the Income Tax Act.
- 69 For the purposes of reporting pursuant to section 45b (2) sentence 1 no 6 (c) of the Income Tax Act, the number of depositary receipts issued by the issuer of the depositary receipts must be indicated. The total number of depositary receipts issued relates to the individual issuer of depositary receipts.
- 70 If depositary receipts for German shares are held in custody by a German depositary, and if the German depositary withholds tax on a distribution from the depositary receipt, information pursuant to section 45b (2) sentence 1 nos 1–5 of the Income Tax Act must be sent to the Federal Central Tax Office by the German depositary.
The information must be sent for the depositary receipts (section 45b (3) sentence 3 of the Income Tax Act).
The German depositary is not obliged to send the information pursuant to section 45b (2) sentence 1 no 6 (a)–(e) of the Income Tax Act for this second withholding of tax.

2.7 Procedure for issuing a collective tax certificate



71 Pursuant to the Federal Ministry of Finance circular of 16 September 2013 (Federal Tax Gazette I, p. 1168), a collective tax certificate is not a certificate within the meaning of section 45a (2) of the Income Tax Act and does not create an entitlement to receive a direct credit of the indicated taxes or to request a refund for these taxes. Rather, the sole function of a collective tax certificate is to enable the German custodian in the chain of custody (the final custodian), who is permitted to refrain from the (second) individual withholding of taxes, to treat capital income from holdings covered by a collective tax certificate on its own behalf or on behalf of its securities account clients in the same way as would be the case if the securities were held in custody exclusively in Germany. In the case of capital income from shares belonging to a holding that is covered by a collective tax certificate, the final German paying agent is not permitted to issue a tax certificate for the taxes it withheld prior to disbursement to another country. In such cases, only the German custodian is permitted to issue tax certificates.

72 In the reportable data set, the information pursuant to section 45b (2) sentence 1 no 4 (i) of the Income Tax Act relating to the issuance of an individual tax certificate must be supplemented by a reference to the collective tax certificate.

73 **Example 1**

In connection with a dividend distribution, the German custodian requests a collective tax certificate for the taxes that the German paying agent withheld before the dividend was disbursed to the intermediary custodian outside Germany. The German custodian issues an individual tax certificate for its securities account clients on the basis of the collective tax certificate.

The German custodian transmits the information pursuant to section 45b (2) of the Income Tax Act to the Federal Central Tax Office in relation to the dividend distribution. A reference to the collective tax certificate is added to the data set. The final German paying agent is not permitted to issue (individual) tax certificates for capital income from shares belonging to a holding that is covered by a collective tax certificate. Accordingly, the paying agent is not required to submit a report pursuant to section 45b (2) of the Income Tax Act.

74 **Example 2**

The German custodian does not request a collective tax certificate from the German paying agent for the securities held in custody with foreign intermediary custodians. The German custodian carries out a second withholding of taxes. The first withholding was carried out by the final German paying agent before the dividends were credited to the foreign intermediary custodian.

Taxes were withheld twice for the dividend payment (first by the final German paying agent and then by the shareholder's German custodian). Both the German custodian and the final German paying agent must submit a report pursuant to section 45b of the Income Tax Act. If the German custodian issues a tax certificate for the capital income credited to its client, it must submit a report to the Federal Central Tax Office pursuant to section 45b (2) of the Income Tax Act.

Unless it issued an individual tax certificate, the German paying agent must submit a report pursuant to section 45b (6) sentence 1 of the Income Tax Act for the taxes withheld before the



dividend was disbursed to the foreign intermediary custodian. If, however, an individual tax certificate is requested for the end customer, a report pursuant to section 45b (2) of the Income Tax Act must be submitted for the taxes withheld by the German paying agent.

2.8 Reportable data set relating to dividend income of special investment funds if the transparency option is used

- 75 If a special investment fund avails itself of the transparency option pursuant to section 30 (1) of the Investment Tax Act, the domestic income from shareholdings within the meaning of section 6 (3) of the Investment Tax Act or other domestic income within the meaning of section 6 (5) of the Investment Tax Act that is subject to withholding tax on capital income is deemed to have accrued to the investors directly. Tax must be withheld as per section 31 (1) sentence 1 of the Investment Tax Act, taking into account the status of the investor in question.
- 76 The information pursuant to section 45b (2) sentence 1 of the Income Tax Act must be transmitted to the Federal Central Tax Office separately for each investor in the special investment fund according to the dividend payment attributable to the investor on a pro-rata basis and the corresponding withholding tax amounts. When reporting financial arrangements, the financial arrangements entered into by the investors in the fund must be indicated in addition to the financial arrangements entered into by the special investment fund. If an attribution of the securities holding to a financial arrangement was made at the level of the special investment fund, it is acceptable if, for the purposes of reporting pursuant to section 45b of the Income Tax Act, no declaration on financial arrangements is obtained by the asset management company or the legal representative of the special investment fund from the investor in the special investment fund.
- 77 The information pursuant to section 45b (2) sentence 1 no 2 (a)–(d) of the Income Tax Act must be transmitted in respect of the investor in the special investment fund. Income attributable on a pro-rata basis to the investor, the pro-rata capital income tax and pro-rata supplemental taxes must be indicated. The same applies to the number of securities attributable to the investor. The securities account number that must be indicated pursuant to section 45b (2) sentence 1 no 2 (e) of the Income Tax Act is the securities account number of the special investment fund holding the shares underlying the dividend payment. As for the trustee pursuant to section 45b (2) sentence 1 no 2 (e) of the Income Tax Act in the case of fiduciary relationships, the special investment fund must be indicated, and the information pursuant to section 45b (2) sentence 1 no 2 (b) of the Income Tax Act must also be provided.
- 78 **Example**
A, a special investment fund availing itself of the transparency option, has acquired 100 shares of C-AG in its securities account with the account number 12345 at bank B, with 15 March as the trade date, 17 March as the settlement date and 17 March as the agreed settlement date. The day of the annual general meeting is 22 March. Investors D (a limited liability company) and E (a public limited company) each have a shareholding in the investment fund. On 24 March, the



investment fund is credited the net dividend totalling €73.63 (after withholding of capital income tax at a rate of 25% and solidarity surcharge at a rate of 5.5%).

Information pursuant to section 45b (2) sentence 1 of the Income Tax Act for investor D:

1. Section 45b (2) sentence 1 no 1 of the Income Tax Act	(a)–(c): In respect of custodian bank B
2. Section 45b (2) sentence 1 no 2 of the Income Tax Act	(b)–(d): D's company name, address and business identification number pursuant to section 139c of the Fiscal Code or LEI or EUID (e): Securities account number 12345 and name, address, identification number or tax number of special investment fund A
3. Section 45b (2) sentence 1 no 3 of the Income Tax Act	Not needed because the shares are not held in intermediary custody
4. Section 45b (2) sentence 1 no 4 of the Income Tax Act	(a): C-AG's ISIN (b): 50 shares (c): Gross income: €50 Net income: €36.81 (d): Capital income tax: €12.50 Supplemental tax: €0.69 (e): 25%, section 43a (1) sentence 1 no 1 of the Income Tax Act (f): IBAN of the special investment fund account to which the income was credited (g)–(i): Identifier, cash dividend and, if applicable, date and reference code issued for the tax certificate
5. Section 45b (2) sentence 1 no 5 of the Income Tax Act	(a): 50 shares (acquired more than 5 days prior to the ex-date) (c): 50 shares: Trade date 15: March Actual settlement date: 17 March Agreed settlement date: 17 March

The same information must be transmitted for investor E.

3. Section 45b (2) sentence 2 of the Income Tax Act

- 79 For the purposes of informing the securities account holder of the data transmission pursuant to section 45b (2) of the Income Tax Act and section 93c (1) no 3 of the Fiscal Code, it is acceptable for the securities account holder to be informed merely of the categories of information transmitted to the Federal Central Tax Office (type of capital income received, custodians of the respective securities, acquisition and disposal of the securities and financial arrangements



connected with the respective securities). It is also possible to inform the account holders before the data transmission actually takes place that the data must, in principle, be transmitted as per section 45b (4)–(6) of the Income Tax Act. If a securities account holder is issued with a tax certificate, it is acceptable to include this information on the tax certificate.

II. Financial arrangements pursuant to section 45b (3) of the Income Tax Act

- 80 The term “financial arrangement” is broad and covers any arrangement as a result of which the economic risk arising from a share position is distributed in whole or in part among the contracting parties or which results in compensation for the dividend. The contracting party of the financial arrangement need not be identical to the contracting party in the acquisition of the securities. In particular, a financial arrangement is deemed to exist if a decline in the shares’ value results in a claim for compensation on the part of the shareholder and/or if a rise in the shares’ value results in an obligation on the part of the shareholder to provide compensation. The same applies if the shareholder is obliged to provide full or partial compensation for distributions from the shares. This compensation may take the form of a monetary payment or another economic benefit.
- 81 In particular, the term “financial arrangement” covers futures, derivatives, other contracts for difference, repo transactions, securities lending transactions, buy/sell-back transactions or sell/buy-back transactions as well as margin lending transactions. These examples are not exhaustive.

III. Procedure for the transmission of data pursuant to section 45b (4)–(6) of the Income Tax Act and section 45c (1) and (2) of the Income Tax Act

- 82 Data must be transmitted via a mass data interface for all report categories in accordance with sections 45b and 45c of the Income Tax Act. Reporting entities and any service providers must use their own specific registration number when transmitting the data. If the data is transmitted via a service provider, the reporting entity does not have to request its own access/certificate to transmit the data. If the reporting entity or service provider already has a registration number for the special control procedure for exemption orders (*Freistellungsaufträgekontrollverfahren*, FSAK), this registration number must also be used for reports pursuant to 45b (4)–(6) of the Income Tax Act. Every reporting entity may transmit the data grouped by business area using its company-specific registration number. The Federal Central Tax Office does not issue reporting entities with separate registration numbers for each business area. For the purposes of reporting pursuant to section 45c (1) and (2) of the Income Tax Act, there is no need to group the data by business area; rather, an institution-based report must be transmitted.
- 83 If a certificate based on Template I of the Federal Finance Ministry Circular of 23 May 2022 (Federal Tax Gazette I, p. 860) must be issued to the capital income creditor, the capital income tax indicated on this certificate and the supplemental tax owed thereon must be reported to the Federal Central Tax Office as per section 45b (4) sentence 2 of the Income Tax Act. The reporting obligation pursuant to section 45b (4) sentence 2 of the Income Tax Act applies regardless of whether or not losses are actually offset.



- 84 If the prerequisites for the automated generation of a report pursuant to section 45b (4) of the Income Tax Act are not yet met at the paying agent by 31 March of the calendar year following the year in which the capital income accrued, it is acceptable for the report pursuant to section 45b (4) of the Income Tax Act to be transmitted by 31 May and for the report pursuant to section 45b (6) of the Income Tax Act to be transmitted by 30 June of the calendar year following the year in which the capital income accrued.

IV. Correcting inaccurate reports

- 85 If a data report is inaccurate, the inaccurate data set must be corrected (correction report). The correction report must include a reference to the Universally Unique Identifier (UUID) of the inaccurate (initial) report and the entire corrected data set. The corrected data set must contain the corrected data as well as the original data that did not need to be corrected.
- 86 A cancellation report should be submitted instead of a correction report only if the data set should not have been transmitted in the first place.
- 87 A correction report must be transmitted if the information regarding the acquisition of the securities needs to be changed following the initial transmission of the reportable data set.
- 88 It is acceptable for a monthly correction report to be transmitted on a consolidated basis.

V. Procedure for issuing amended certificates

- 89 When issuing an amended (supplementary) certificate, the certificate must be assigned a new serial number (see margin no 6 of the Federal Finance Ministry circular of 23 May 2022, Federal Tax Gazette I, p. 860). The data set must be reported using the newly assigned serial number with reference to the UUID of the initial report and the entire corrected data set.

VI. Changes between limited and unlimited tax liability over the course of a year

- 90 When issuing tax certificates, a distinction must be made between periods of limited tax liability and periods of unlimited tax liability. The procedure for issuing a tax certificate and the associated procedure for reporting to the revenue administration depends on whether the income was received in a period of limited or unlimited tax liability (report pursuant to section 45b (5) of the Income Tax Act for the period of limited tax liability; report pursuant to section 45b (4) of the Income Tax Act for the period of unlimited tax liability). The tax certificates (in the case of unlimited tax liability) / reportable data sets (in the case of limited tax liability) must each be assigned their own serial number and reported to the Federal Central Tax Office.



VII. Reporting pursuant to section 45b (4) sentence 2 of the Income Tax Act

- 91 Pursuant to section 45b (4) sentence 2 of the Income Tax Act, the capital income tax withheld for the securities account client and indicated on the officially prescribed form must be reported alongside the supplemental tax. The transmission of information pursuant to section 45b (2) of the Income Tax Act remains unaffected. The information pursuant to section 45b (4) sentence 2 of the Income Tax Act must be transmitted alongside the information pursuant to section 45b (2) of the Income Tax Act.

92 **Example**

*Capital income after loss offsetting: €10,000,
including dividend income of €100*

Indication on the annual tax certificate in accordance with Template I:

Capital income: €10,000

Capital income tax = €2,500.00

Solidarity surcharge = €137.50

<i>Information pursuant to section 45b (4) sentence 2 of the Income Tax Act:</i>	<i>Capital income tax: €2,500</i> <i>Solidarity surcharge: €137.50</i>
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Indication of the dividend income pursuant to section 45b (2) of the Income Tax Act:

<i>Section 45b (2) sentence 1 no 4 (c) of the Income Tax Act:</i>	<i>Gross amount: €100</i> <i>Net amount: €73.63</i>
<i>Section 45b (2) sentence 1 no 4 (d) of the Income Tax Act:</i>	<i>Capital income tax: €25</i> <i>Solidarity surcharge: €1.37</i>

VIII. Transmission of data pursuant to section 45b (6) sentence 1 of the Income Tax Act

- 93 If the paying agent has withheld, pursuant to section 43a (1) sentence 1 no 1 of the Income Tax Act, capital income tax at a rate of 25% on disbursed capital income and has not issued a tax certificate or transmitted data pursuant to section 45b (5) of the Income Tax Act, data relating to this capital income must be transmitted pursuant to 45b (6) sentence 1 of the Income Tax Act.

94 **Example**

Bank C holds 100 shares of X-AG in custody for client A and 100 shares of X-AG for client B. Client A and client B are natural persons resident in Germany. Bank C credits the net dividend to client A and client B respectively, after withholding capital income tax at a rate of 25%. Client A is issued with a tax certificate for the dividend from X-AG credited to client A's account; client B is not issued with a tax certificate.

For client A's 100 shares, a report pursuant to section 45b (2) sentence 1 of the Income Tax Act must be submitted; for client B's 100 shares, a report pursuant to section 45b (6) sentence 1 of the Income Tax Act must be submitted.



- 95 A report pursuant to section 45b (6) sentence 1 of the Income Tax Act must also be submitted if the securities account holder requested a tax certificate or the transmission of information pursuant to section 45a (2a) of the Income Tax Act, but the certificate has not been issued or the information has not been transmitted by 31 May. At a later date, as soon as the information pursuant to section 45a (2a) of the Income Tax Act has been transmitted or a tax certificate has been issued, the initial report pursuant to section 45b (6) of the Income Tax Act must be corrected and the data pursuant to section 45b (4) or (5) of the Income Tax Act must be transmitted.

IX. Transmission of data if capital income tax is not withheld or is only partially withheld as per section 45b (6) sentence 2 of the Income Tax Act

- 96 If tax is not withheld or only partially withheld, and if (a) no tax certificate is issued or (b) no information is transmitted as per section 45a (2a) of the Income Tax Act, the reportable data set pursuant to section 45b (6) sentence 2 of the Income Tax Act must be transmitted. This also applies if tax is not withheld or is only partially withheld and a tax certificate is issued or information as per section 45a (2a) of the Income Tax Act is transmitted.
- 97 If tax was not withheld or only partially withheld by the paying agent on the basis of a non-assessment certificate (*Nichtveranlagungs-Bescheinigung* or *NV-Bescheinigung*), a status certificate or other documents (see the Federal Ministry of Finance circular of 19 May 2022, Federal Tax Gazette I, p. 742, margin nos 295–298), a report pursuant to section 45b (6) sentence 2 must be submitted. For the purposes of section 45b (2) sentence 1 no 4 (d) of the Income Tax Act, the amount of capital income tax actually withheld and remitted must be indicated as €0 (if no tax has been withheld). There is no need to indicate the notional gross capital income tax that would apply to a dividend payment before taking into account the non-assessment certificate.
- 98 Tax is deemed to have been only partially withheld if capital income pursuant to section 43 (1) sentence 1 no 1a of the Income Tax Act was subject not to the 25% tax rate as per section 43a (1) no 1 of the Income Tax Act, but to a lower tax rate (in particular 15% after submission of a status certificate pursuant to section 7 (3) of the Investment Tax Act or pursuant to section 44a (10) sentence 1 no 3 in conjunction with section 44a (8) sentence 2 of the Income Tax Act). For the purposes of data transmission, a refund of withheld capital income tax pursuant to section 7 (5) sentence 1 or 2 of the Investment Tax Act by the party that withheld the tax must be treated as a case of not withholding tax or only partially withholding tax. If a report was submitted before the capital income tax was refunded pursuant to section 7 (5) of the Investment Tax Act, a correction must be made.
- 99 If an exemption order is taken into account or tax is not withheld or only partially withheld due to offsetting of negative capital income, this does not constitute a case of not withholding tax or only partially withholding tax pursuant to section 45b (6) sentence 2 of the Income Tax Act.



100 **Example 1** – Tax is only partially withheld and a tax certificate is issued:

An investment fund has submitted a status certificate pursuant to section 7 (3) of the Investment Tax Act to the paying agent. The paying agent withholds tax at a rate of 15% as per section 7 (1) of the Investment Tax Act. The gross dividend totals €100.

-> Section 45b (6) sentence 2 of the Income Tax Act applies, as tax was only partially withheld. Information regarding the amount of tax withheld and the tax rate applied:

Section 45b (2) sentence 1 no 4 (d) of the Income Tax Act:	Withheld and remitted capital income tax in the amount of €14.22 plus solidarity surcharge as a supplemental tax in the amount of €0.78
Section 45b (2) sentence 1 no 4 (e) of the Income Tax Act:	Tax rate applied = 14.22% and 5.5%
Information pursuant to section 45b (2) sentence 1 no 4 (e) of the Income Tax Act:	Legal basis = section 7 (1) of the Investment Tax Act

101 **Example 2** – Tax is only partially withheld and no tax certificate is issued:

An investment fund has submitted a status certificate pursuant to section 7 (3) of the Investment Tax Act to the paying agent. The paying agent withholds tax at a rate of 15% as per section 7 (1) of the Investment Tax Act. No tax certificate is issued. The gross dividend totals €100.

-> Section 45b (6) sentence 2 of the Income Tax Act applies, as tax was only partially withheld. The reportable data set must be transmitted pursuant to section 45b (6) sentence 2 of the Income Tax Act, indicating the investment fund as the recipient of the dividend.

Information regarding the amount of tax withheld and the tax rate applied:

Section 45b (2) sentence 1 no 4 (d) of the Income Tax Act:	Withheld and remitted capital income tax in the amount of €14.22 plus solidarity surcharge as a supplemental tax in the amount of €0.78
Section 45b (2) sentence 1 no 4 (e) of the Income Tax Act:	Tax rate applied = 14.22% and 5.5%
Information pursuant to section 45b (2) sentence 1 no 4 (e) of the Income Tax Act:	Legal basis = section 7 (1) of the Investment Tax Act

102 **Example 3** – Tax is withheld at a rate of 25% due to lack of a status certificate:

A German investment fund has not submitted a status certificate to the paying agent. The gross dividend totals €100.

a) A tax certificate is issued:



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-> Section 45b (2) of the Income Tax Act applies; 45b (6) of the Income Tax Act does not apply, as without submission of a status certificate, tax was not withheld at a reduced rate and a tax certificate was issued.

Information regarding the amount of tax withheld and the tax rate applied:

Section 45b (2) sentence 1 no 4 (d) of the Income Tax Act:	Withheld and remitted capital income tax in the amount of €25 plus solidarity surcharge as a supplemental tax in the amount of €1.37
Section 45b (2) sentence 1 no 4 (e) of the Income Tax Act:	Tax rate applied = 25% and 5.5%
Information pursuant to section 45b (2) sentence 1 no 4 (e) of the Income Tax Act:	Legal basis = section 43a (1) sentence 1 no 1 of the Income Tax Act

b) No tax certificate is issued:

-> Section 45b (6) sentence 1 of the Income Tax Act applies, as no tax certificate was issued and the tax was withheld in full at the standard rate.

It is not a case of tax being withheld at a lower rate.

- 103 **Example 4** – Tax is only partially withheld pursuant to section 44a (10) sentence 1 no 3 of the Income Tax Act after submission of a certificate pursuant to section 44a (8) sentence 2 of the Income Tax Act. The gross dividend totals €100.

a) A tax certificate is issued by the paying agent:

-> Section 45b (6) sentence 2 of the Income Tax Act applies, as tax was only partially withheld.

Information regarding the amount of tax withheld and the tax rate applied:

Section 45b (2) sentence 1 no 4 (d) of the Income Tax Act:	Withheld and remitted capital income tax in the amount of €15 plus solidarity surcharge as a supplemental tax in the amount of €0.82
Section 45b (2) sentence 1 no 4 (e) of the Income Tax Act:	Tax rate applied = 15% and 5.5%
Information pursuant to section 45b (2) sentence 1 no 4 (e) of the Income Tax Act:	Legal basis section = 44a (10) sentence 1 no 3 of the Income Tax Act in conjunction with section 44a (8) of the Income Tax Act

b) No tax certificate is issued by the paying agent:

-> Section 45b (6) sentence 2 of the Income Tax Act applies, as tax was only partially withheld.



Section 45b (2) sentence 1 no 4 (d) of the Income Tax Act:	Withheld and remitted capital income tax in the amount of €15 plus solidarity surcharge as a supplemental tax in the amount of €0.82
Section 45b (2) sentence 1 no 4 (e) of the Income Tax Act:	Tax rate applied = 15% and 5.5%
Information pursuant to section 45b (2) sentence 1 no 4 (e) of the Income Tax Act:	Legal basis section = 44a (10) sentence 1 no 3 of the Income Tax Act in conjunction with section 44a (8) of the Income Tax Act

- 104 **Example 5** – Tax is only partially withheld pursuant to section 44a (10) sentence 1 no 2 of the Income Tax Act after submission of a certificate pursuant to section 44a (7) sentence 2 of the Income Tax Act. The gross capital income amounts to €30,000. Pursuant to section 44a (10) sentence 1 no 2 of the Income Tax Act, the paying agent withholds three fifths of the capital income tax for the amount in excess of €20,000 (= €1,500 in capital income tax).

a) A tax certificate is issued by the paying agent:

-> Section 45b (6) sentence 2 of the Income Tax Act applies, as tax was only partially withheld.

Gross amount: €30,000

Information regarding the amount of tax withheld and the tax rate applied:

Section 45b (2) sentence 1 no 4 (e) of the Income Tax Act:	Withheld and remitted capital income tax in the amount of €1,500 plus solidarity surcharge as a supplemental tax in the amount of €82.50
Section 45b (2) sentence 1 no 4 (e) of the Income Tax Act:	Tax rate applied in each case = 15% and 5.5%
Information pursuant to section 45b (2) sentence 1 no 4 (e) of the Income Tax Act:	Legal basis: section 44a (10) sentence 1 no 2 of the Income Tax Act in conjunction with section 44a (7) of the Income Tax Act

b) No tax certificate is issued by the paying agent:

-> Section 45b (6) sentence 2 of the Income Tax Act applies, as tax was only partially withheld.

Information regarding the amount of tax withheld and the tax rate applied:

Section 45b (2) sentence 1 no 4 (e) of the Income Tax Act:	Withheld and remitted capital income tax in the amount of €1,500 plus solidarity surcharge as a supplemental tax in the amount of €82.50
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Section 45b (2) sentence 1 no 4 (e) of the Income Tax Act:	Tax rate applied in each case = 15% and 5.5%
Information pursuant to section 45b (2) sentence 1 no 4 (e) of the Income Tax Act:	Legal basis: section 44a (10) sentence 1 no 2 of the Income Tax Act in conjunction with section 44a (7) of the Income Tax Act

105 **Example 6** – No tax is withheld and no tax certificate is issued:

A foundation or legal person within the meaning of section 44a (7) sentence 1 no 2 or 3 of the Income Tax Act submits a certificate pursuant to section 44a (7) sentence 2 of the Income Tax Act. The paying agent does not withhold tax on the dividend payment pursuant to section 44a (10) sentence 1 no 2 of the Income Tax Act.

-> Section 45b (6) sentence 2 of the Income Tax Act applies, as no tax was withheld.

Information regarding the amount of tax withheld and the tax rate applied:

Section 45b (2) sentence 1 no 4 (e) of the Income Tax Act:	Withheld and remitted capital income tax in the amount of €0 plus solidarity surcharge as a supplemental tax in the amount of €0
Section 45b (2) sentence 1 no 4 (e) of the Income Tax Act:	Tax rate applied in each case = 0%
Information pursuant to section 45b (2) sentence 1 no 4 (e) of the Income Tax Act:	Legal basis: section 44a (7) sentence 1 no 2 or 3 of the Income Tax Act in conjunction with section 44a (7) sentence 2 of the Income Tax Act

X. Application of section 45b (6) sentence 1 in conjunction with sentence 3 of the Income Tax Act in the case of client securities accounts maintained by a German credit institution for other German and foreign credit institutions

- 106 If a credit institution maintains a securities account for another credit institution and if the credit institution issues a tax certificate for only some of the securities holdings, then the information pursuant to section 45b (6) sentence 1 of the Income Tax Act must be transmitted only for the income from securities holdings for which no tax certificate was issued. For income from securities holdings for which a tax certificate was issued, a report must be submitted pursuant to section 45b (4) in conjunction with (2) of the Income Tax Act, or pursuant to section 45b (5) in conjunction with (2) of the Income Tax Act in the cases set out in section 45a (2a) of the Income Tax Act.

107 **Example:**

Bank A holds 100 shares of C-AG in custody for foreign bank B. Bank A withholds 25% in taxes on the dividend payment for bank B's 100 shares. At the request of its client, bank B requests the transmission of information pursuant to section 45b (5) of the Income Tax Act for 70 of the shares.



For the remaining 30 shares, bank A does not issue a tax certificate or transmit data in accordance with section 45b (5) of the Income Tax Act.

Data transmission process:

Bank A transmits the information pursuant to section 45b (5) of the Income Tax Act for the holding of 70 shares. For the remaining 30 shares, the information pursuant to section 45b (6) sentence 1 of the Income Tax Act must be transmitted.

XI. Section 45b (7) sentence 3 of the Income Tax Act

- 108 In accordance with section 45b (7) sentence 3 of the Income Tax Act, the certificate pursuant to section 45a (2) of the Income Tax Act may only be issued and the information pursuant to section 45a (2a) of the Income Tax Act may only be transmitted once the paying agent disbursing the capital income is in possession of all of the information pursuant to section 45b (2) and (3) of the Income Tax Act and if this information does not contradict any other information obtained by the paying agent in the course of the business relationship. The due diligence requirements pursuant to margin nos 2–8 must be observed.

109 **Example 1**

The German paying agent (bank A) receives a request from its foreign securities account client (bank B) to transmit data pursuant to section 45a (2) of the Income Tax Act. According to the request, the data set to be transmitted is for a natural person (C). The request contains no information on the intermediary custodians.

Since bank B is requesting a tax certificate not for itself but for C, it is clear to the custodian bank that the information regarding the chain of custody for this request is incorrect and that a tax certificate that fails to mention the intermediary custodians would be inaccurate.

110 **Example 2**

The German paying agent (bank A) receives a request from its foreign securities account client (bank B) to transmit data pursuant to section 45a (2) of the Income Tax Act. According to the request, the data set to be transmitted is for a natural person (C). The date of the actual settlement date pursuant to section 45b (2) sentence 1 no 6 of the Income Tax Act is given as 23 February of the current calendar year. At 12 midnight on 23 February of the calendar year, no securities of this class were held in custody for bank B.

It is clear to bank A that the actual settlement date is incorrect and that a tax certificate issued on this basis would be inaccurate. Before issuing a tax certificate, bank B must clarify the origin of the shares.



XII. Section 45b (8) of the Income Tax Act

- 111 The statutory retention requirements remain unaffected by the rules on correcting data sets pursuant to section 45b (8) of the Income Tax Act.
Data sets must also be corrected if a tax certificate is issued after submission of the report by 30 April as per section 45b (6) sentence 3 of the Income Tax Act, resulting in a change in the information required pursuant to section 45b (6) sentence 1 of the Income Tax Act.

XIII. Information pursuant to section 45c (1) of the Income Tax Act

- 112 Pursuant to section 45c (1) sentence 1 no 1 of the Income Tax Act, the gross income before deducting capital income tax must be indicated per securities class and payment date.
- 113 Information about withheld and remitted capital income tax pursuant to section 45c (1) sentence 1 no 2 of the Income Tax Act and about certified capital income tax pursuant to section 45c (1) sentence 1 no 3 of the Income Tax Act must be indicated by way of analogous application of margin no 27.

114 ***Example 1***

A credit institution holds 200 shares of X-AG in custody for securities account clients, who were credited dividends totalling €200. 100 of the total number of shares are held for natural persons resident in Germany. The dividend payments were taken into account in the annual tax certificate. The remaining 100 shares are held for one client, for whom the credit institution has withheld three fifths of the 25% capital income tax pursuant to section 44a (10) sentence 1 no 3 of the Income Tax Act. No tax certificate was requested.

The credit institution reports the following pursuant to section 45c (1) sentence 1 of the Income Tax Act for a holding of 100 shares:

no 1:	Gross income: €100
no 2:	Withheld and remitted capital income tax: €25; solidarity surcharge: €1.37
no 3:	Capital income tax: €25; solidarity surcharge: €1.37
no 4:	100 shares
no 5:	ISIN and designation of the security category of X-AG

The credit institution reports the following pursuant to section 45c (1) sentence 2 of the Income Tax Act for a holding of 100 shares:

no 1:	Gross income: €100
no 2:	Withheld capital income tax: €15; solidarity surcharge: €0.82
no 3:	0
no 4:	100 shares
no 5:	ISIN and designation of the security category of X-AG
Legal Basis: section 44a (10) sentence 1 no 3 of the Income Tax Act	



115 **Example 2**

A dividend of €100 is disbursed on a holding of 100 shares held in custody by a credit institution. The credit institution offsets the dividend income against other losses pursuant to section 43a (3) sentence 2 of the Income Tax Act.

The report pursuant to section 45c (1) sentence 1 no 2 of the Income Tax Act in conjunction with section 45c (1) sentence 1 no 3 of the Income Tax Act does not have to include the offset dividend income.

Content of the reportable data set:

no 2: €25 capital income tax and €1.37 supplemental tax

no 3: €25 capital income tax and €1.37 supplemental tax

- 116 If capital income tax was not withheld due to an exemption order being taken into account or as a result of the dividend income being offset against negative capital income, section 45c (1) sentence 2 of the Income Tax Act does not apply.

XIV. Information as per section 45c (2) of the Income Tax Act

- 117 For the purposes of reporting pursuant to section 45c (2) sentence 1 no 3 of the Income Tax Act, the holdings on the date underlying the dividend distribution are decisive. This is either the day of the annual general meeting or the record date announced for the dividend settlement. If the dividend settlement vis-à-vis the securities account clients is carried out on the basis of the holdings on the day of the annual general meeting, the holdings on that date are decisive. If the dividend settlement vis-à-vis the securities account clients is carried out on the basis of the holdings at a later date, in particular on the basis of the holdings on the record date in accordance with the Market Standards for Corporate Actions (CAJWG standards), the holdings on that date are decisive.
- 118 The reportable data set must include the actual amount credited to the securities account holder on the basis of the holdings.
- 119 Section 45c (2) sentence 1 no 4 of the Income Tax Act covers payments that were credited to the acquirer of a share after the record date during the compensation period as compensation for the dividend payment that was not credited. The reportable data set must include the actual amount credited to the securities account holder on the basis of the shares booked in or booked out of the account.
- 120 Section 45c (2) sentence 1 no 5 of the Income Tax Act covers debits posted to the client account during the compensation period after the record date to correct (compensate) for received dividend payments or compensation payments. The amount to be taken into account is the amount after the tax correction (debiting of the compensation payment by the central securities depository, taking into consideration the tax correction).



- 121 Compensation payments must be reported only if they are posted to the client account. If the dividend payments are settled by the paying agent vis-à-vis their securities account clients on the basis of the Market Standards for Corporate Actions (CAJWG standards), in particular, compensation payments as per section 45c (2) sentence 1 nos 4–6 of the Income Tax Act which are posted in the process of settling the dividends must be reported. If the paying agents do not post any compensation payments for their securities account clients and if the CAJWG standards in particular do not apply, the paying agents are not required to report information pursuant to section 45c (2) sentence 1 nos 4–6.
- 122 As per section 45c (2) sentence 1 no 6 of the Income Tax Act, the amount to be reported is the amount remaining after netting all credits against debits.
- 123 Pursuant to section 45c (2) sentence 1 no 7 of the Income Tax Act, the amount to be reported is the amount of capital income tax remitted after accounting for credits and debits.

124 **Example**

Non-resident A maintains a securities account with Clearstream Banking AG, Frankfurt

Holdings on the entitlement date: 1,000,000 shares

Securities are traded on the business day before the ex-date, but delivered after the entitlement date:

1. *Acquisition of 550,000 shares*
2. *Disposal of 400,000 shares*

The distribution of dividends per share is €1

The solidarity surcharge is not considered in this example.



	Shares:	Gross:	Capital income tax:	Credit / debit
Section 45c (2) sentence 1 no 3 of the Income Tax Act: Credited capital income (based on the securities holdings on the entitlement date)	1,000,000	€1,000,000.00	- €250,000.00	€750,000.00
Section 45c (2) sentence 1 no 4 of the Income Tax Act: Credited compensation payments	550,000	€550,000.00	- €137,500.00	€412,500.00
Section 45c (2) sentence 1 no 5 of the Income Tax Act: Debited compensation payments	-400,000	- €400,000.00	€100,000.00	€300,000.00
	1,150,000	€1,150,000.00	- €287,500.00	€862,500.00

Content of data set:

Section 45c (2) sentence 1 no 3 of the Income Tax Act:	Credited: €750,000 Shares: 1,000,000
Section 45c (2) sentence 1 no 4 of the Income Tax Act:	Credited: €412,500 Shares: 550,000
Section 45c (2) sentence 1 no 5 of the Income Tax Act:	Debited: €300,000 (gross compensation after offsetting against tax correction) Shares: 400,000
Section 45c (2) sentence 1 no 6 of the Income Tax Act:	€862,500 (€750,000 + €412,500 - €300,000) Shares: 1,150,000
Section 45c (2) sentence 1 no 7 of the Income Tax Act:	€287,500 (€250,000 + €137,500 - €100,000)

XV. Taking into account corrections pursuant to section 43a (3) sentence 7 of the Income Tax Act

- 125 In the case of a correction pursuant to section 43a (3) sentence 7 of the Income Tax Act, it is not necessary to submit a correction report pursuant to section 45b (8) of the Income Tax Act or section 45c (3) sentence 2 of the Income Tax Act. If a correction must be made pursuant to section 43a (3) sentence 7 of the Income Tax Act, a correction report must be submitted for the year in which the correction was made.



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The report must be based on the acquisition information and, if applicable, disposal information for the securities giving rise to the report. The capital income data set already transmitted before the correction was made does not need to be corrected.

XVI. Scope of application and publication details

- 126 The obligation to transmit information pursuant to sections 45b and 45c of the Income Tax Act applies for the first time in relation to capital income accruing after 31 December 2026.
- 127 This circular replaces the Federal Ministry of Finance circular of 6 November 2023 (Federal Tax Gazette I, p. 1947) and the circular of 27 August 2024 (Federal Tax Gazette I, p. 1138) and is published in Part I of the Federal Tax Gazette. It is now available to download from the Federal Finance Ministry's website (<http://www.bundesfinanzministerium.de>) under Service – Publikationen – BMF Schreiben.